Stock Focus

The Lottery Corporation (TLC-ASX)

E&P

Strategy Day: Sorting the Likely from the Possible

Recommendation: Positive

Last price	**AUD5.17**
Valuation	**AUD6.10**

TSR

Upside to valuation	18.0%
Dividend yield	3.6%
Expected total SH return	21.6%

TLC-ASX share price history
Source: E&P Research, IRESS



Trading Data

Last price	AUD5.17
Valuation	AUD6.10
12 month range	-
Market cap ($m)	$10,973
Shares outstanding (m)	2,225.8
Free float (%)	100.0
12 month return (historical)	14.4%

Earnings revisions

	FY26	% chg	FY27	% chg
Revenue	3,679.5	(1.1)%	4,183.0	(0.3)%
EBITDA	731.9	(1.6)%	866.0	(0.4)%
Adj. EPS	15.5	(1.3)%	17.2	4.3%
DPS	15.8	0.0%	16.8	(1.4)%
Val	**AUD6.10**	**-1.31%**		

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Investor Day Preview

In this note we preview TLC's upcoming Strategy Day. In preparation, we have taken an exhaustive look at both the Australian and international lottery landscapes, identifying a range of potential growth angles TLC may present. We have then evaluated each against three filters: commercial sense, regulatory approval, and preservation of TLC's social licence.

We believe TLC is likely to pursue the following strategic initiatives:

- Second chance draws — to improve player experience and stickiness.
- Online Keno in Venue — conceptually the same as TAB Live.
- General product improvements, with an emphasis on AI-driven personalisation.
- Lessons from Rewards Clubs - more engaging marketing and enhanced membership benefits.

The following ideas carry more upside but also greater risk. Nonetheless, we see merit in exploring them and think they remain within the realm of what TLC could present.

- Moving Powerball to two draws per week.
- Launching new games with higher draw frequency.
- Retail instant tickets with a digital experience layer (accessed via barcode scan).

2H26 Lottery Turnover

We are also flagging that consensus lottery turnover for 2H26 is now too high. This follows Thursday night's $60m Powerball jackpot being won. With only 4 Powerball and 5 Oz Lotto draws remaining for the half - both starting from base jackpot levels - there is no longer scope for another material jackpot. The range of 2H26 outcomes for TLC is therefore effectively capped. We currently forecast 2H26 turnover of $3,315m, -8.6% below consensus.

Changes to Earnings and Valuation

Our EBITDA forecasts for FY26-28 decrease by -1.6%/-0.4%/-0.4%. Our valuation decreases to $6.10 and we retain our Positive recommendation.

Earnings Forecasts

Yr to Jun (AUD)	24A	25A	26E	27E
EBITDA	827.1	749.3	731.9	866.0
Net Profit From Operations	411.8	360.4	345.4	383.7
Adj. EPS (c)	18.5	16.2	15.5	17.2
EV/EBITDA (x)	**16.2**	**17.7**	**18.0**	**16.4**
Dividend Yield	3.6	3.3	3.1	3.3
Valuation (blended)				**AUD6.10**

Source: E&P Research

Australian Gambling Landscape

Before exploring potential ideas TLC may present at its investor day, it's worth a quick look at the broader gambling landscape.

The most recent development is the Albanese government's response to the online gambling inquiry (see here). Unfortunately for TLC, Online Keno will be banned, and based on his prior commentary we believe this was a key pillar of New CEO Wayne Pickup's growth strategy. On balance, however, we believe TLC still emerges net favourably positioned from the reforms.

- Lottoland will also have to cease Online Keno.
- Foreign Matched Lotteries and Trade Promotion Lotteries (i.e. Rewards Clubs) are both likely to face legislative change (discussed further below).
- Lotteries are not subject to the same advertising restrictions that will impact the wagering sector.

Beyond these reforms, Lotteries has also been spared regulatory measures that have hit other gambling verticals.

- These include the credit card ban, BetStop, and mandatory activity statements, among others.
- The lotteries sector is also far less exposed to AML/CTF risk, and therefore to the prospect of an AUSTRAC investigation, fines, and a compliance overhaul.
    - This risk has already materialised for the casino sector and is now drawing scrutiny across wagering operators and EGM-operating clubs.
- Separately, there have been media reports of a push from senior figures within NSW Labor to halve the state's EGM count (see here).

Despite a hostile regulatory backdrop for gambling broadly, the setup for Lotteries specifically looks constructive. At a minimum, Lotteries should benefit from reduced advertising competition as wagering operators and adjacent lottery verticals face tighter restrictions. There is also a bull case for share-of-wallet migration from other gambling products into lotteries.

Digital Upside

Pickup's made it clear from his initial statement that he plans to accelerate TLC's evolution as a digital entertainment company. He subsequently restructured the business, making Digital its own category.

Exhibit 1 - TLC Restructure Announcement - 5th March 2026

The Lottery Corporation will create three customer-facing business units: Lotteries, Digital and Keno, each with a distinct mandate and clear accountability to sharpen strategic focus, led by a Chief Operating Officer. They are:

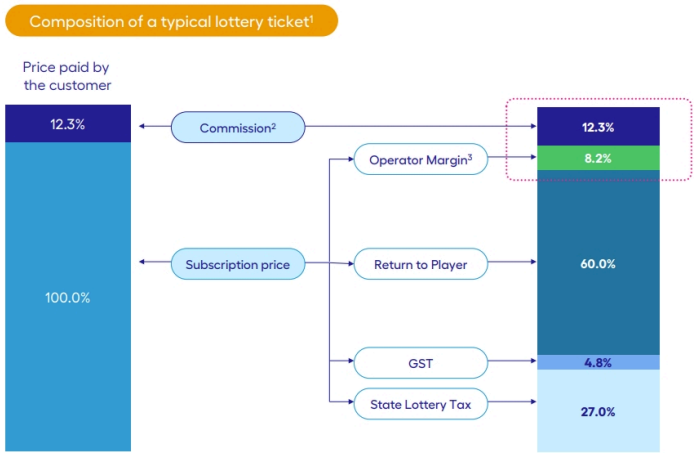
- Callum Mulvihill will be appointed Chief Operating Officer – **Lotteries**. As the Lotteries product owner, this role will grow our core lotteries product portfolio, maximising performance across our retail network and digital wholesale partnerships.
- Loren Somerville will be appointed Chief Operating Officer – **Digital**. Digital's mandate is to drive digital lottery sales, deliver world-class app and web experiences, and explore new opportunities in adjacent lottery entertainment categories.
- Antony Moore will be appointed Chief Operating Officer – **Keno**. This brings together our venue-based and online Keno operations under a single leader. Its mandate is to grow Keno by improving the customer proposition, making it the game of choice in venues, expanding products and unlocking the online opportunity.

Source: TLC

Digital penetration has been a key metric for TLC, not just because the channel offers stronger growth and greater flexibility, but because the margin uplift from digital sales is material.

- The average operator margin per retail ticket is ~8.2% of the subscription price (or 7.3% of the total ticket price).
  - This varies materially across states (see our Victorian Lottery Licence Deep Dive).
- A digital ticket purchased directly via the Lott can add a further ~12.3% margin.
  - We note online commissions are in some cases shared with other retailers - examples include Jumbo-originated sales, omnichannel arrangements, and in-store syndicate purchases.

Exhibit 2 - TLC Lottery Ticket Breakdown



Source: TLC. Note: The Composite of a Lottery Ticket Sale is presented on a blended basis, as each jurisdiction is slightly different

Exhibit 3 - TLC Lottery Margins by Channel

	VIC	NSW	QLD	SA
Operator Margin	3.5%	8.1%	9.3%	18.8%
Retailer Commission	12.3%	12.3%	12.3%	12.3%
The Lott Direct Margin	**15.8%**	**20.4%**	**21.6%**	**31.1%**

Source: Various State Governments & Regulators, ATO, AGS, Company Data, E&P Estimates. Note: Assumes bloc game ex SFL. SA comes through as a Master Agent Fee & includes Keno.

Excludes various retailer fees. Excludes omni-channel, Jumbo & syndicate commissions.

eInstants - Legal Status

In the restructure exhibit above, the final mandate for the Digital segment is to "explore new opportunities in adjacent lottery entertainment categories". Whenever the idea of digital innovation is mentioned in conjunction with lotteries, our team immediately thinks of the potential of online instants (eInstants). Currently, eInstants are prohibited under the Interactive Gambling Act (IGA). A change in the IGA would likely require one of the following:

- Lobbying efforts from either state governments looking to raise tax revenue.
- A material online casino black market for which the government is unable to effectively crack down on.

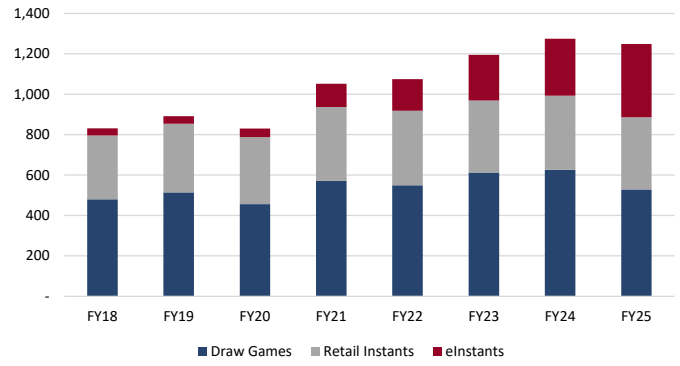
Given the current political climate with regard to gambling reform, we do not believe a push for eInstants reform is a part of TLC's near-term plan. Nor do we recommend an aggressive approach given the current social licence that Lotteries benefit from. That said, we still believe it is worth exploring for the following reasons:

- The large potential long-term upside if legalised.
- The lessons that can be learned from international markets & Pickups prior international experience.
- The potential options for eInstants products that may fit within the IGA.

eInstants - Long-term Potential & Lessons from International Markets

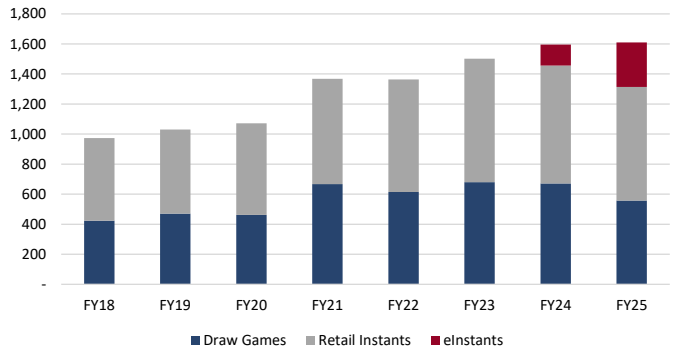
eInstants are legal in numerous major lottery markets such as the UK, Italy, France, Canada and some US states. The two leading US states are Virginia & North Carolina, where eInstants account for 29.0%/18.4% net revenue despite only being operational for a relatively short period.

Exhibit 4 - Virginia Lottery Net Revenue (US$m) by Game Type



Source: Virginia Lottery, E&P Estimates. Note: figures are net of prizes.

Exhibit 5 - North Carolina Net Revenue (US$m) by Game Type

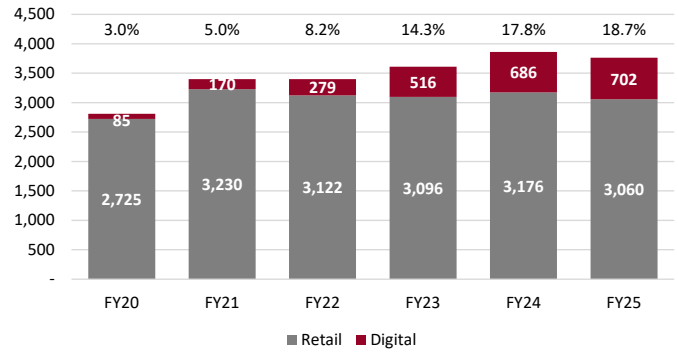


Source: NC Education Lottery, E&P Estimates. Note: figures are net of prizes.

Pickup previously ran the North American operations of global lottery operator Allwyn, whose main North American presence is currently as operator of the Illinois Lottery.

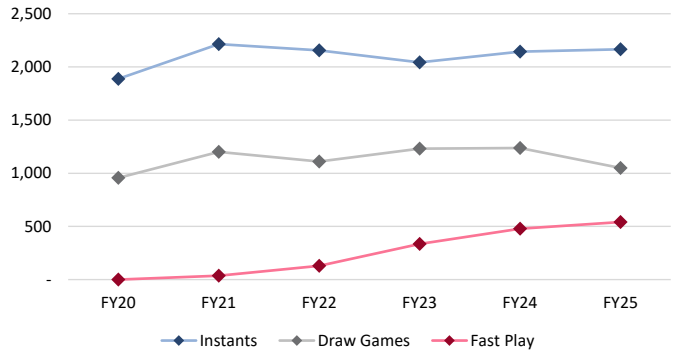
In Illinois, Pickup led the expansion of the digital business from US$50m to US$700m in annual sales in just five years. The primary driver was a game category called FastPlay, which accounts for ~68.7% of online sales. In FastPlay, players select a game, receive a ticket, and immediately check whether they've won. Numbers are automatically generated and there is no scratching required. While conceptually similar to eInstants, FastPlay games are technically classified as draw games (with immediate outcomes), placing them outside the eInstants definition.

Exhibit 6 - Illinois Lottery Sales by Channel (US$m, Digital Penetration as label)



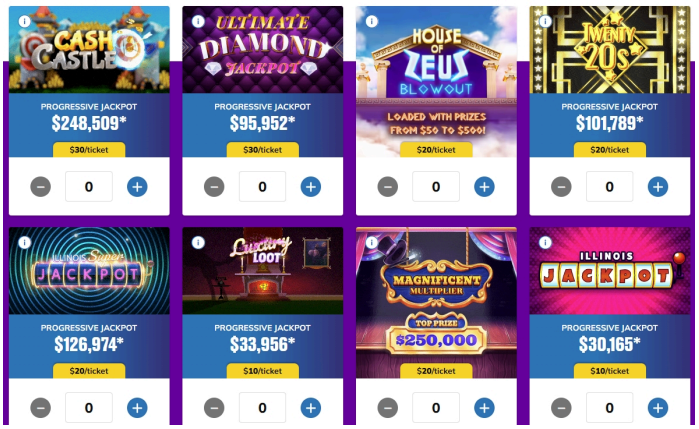
Source: Allwyn, Illinois Lottery, E&P Estimates

Exhibit 7 - Illinois Lottery Sales by Game Type (US$m)



Source: Allwyn, Illinois Lottery, E&P Estimates

Exhibit 8 - Illinois Lottery FastPlay Games



Source: Illinois Lottery

Exhibit 9 - Illinois FastPlay Online - Super Jackpot



Source: Illinois Lottery

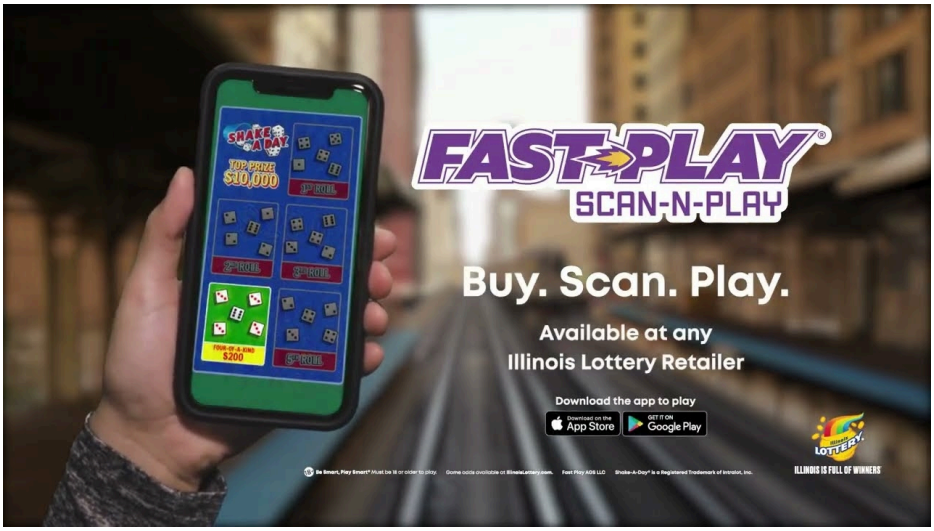
eInstants - Potential options within existing IGA Framework

As noted, we don't expect TLC to pursue eInstants in the near term, nor would we expect them to pursue FastPlay-style products. However, there are still elements of eInstants that could theoretically fit within the IGA.

The most logical adjacent concept we have identified is Scan-N-Play, used in Illinois and other jurisdictions.

- Players purchase a physical retail ticket and then play the game digitally on their phone.
  - We see scope for TLC to elevate the instant ticket experience along similar lines.
- Rather than scratching off a latex coating with a coin, players could scan their ticket to unlock a more immersive experience with animations and sound.
- Our interpretation of the IGA is that, so long as the outcome is determined physically, the digital layer adds no gambling element and would not be in breach.

Exhibit 10 - Illinois Fast Play Scan-N-Play



Source: Illinois Lottery

Exhibit 11 - Illinois Fast Play Scan-N-Play



Source: Illinois Lottery

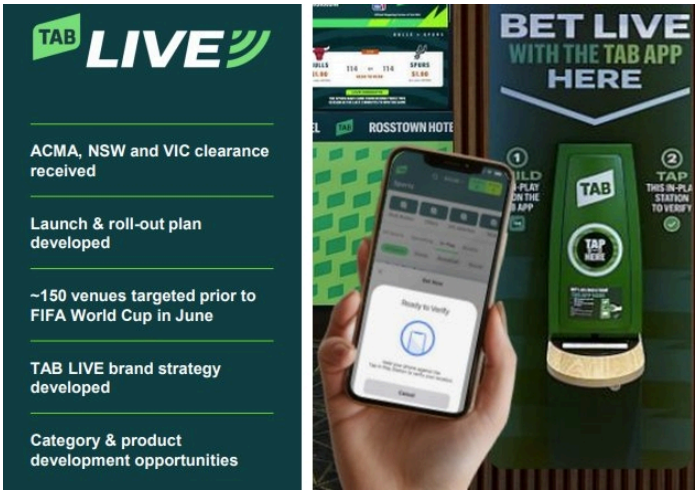
A second option would be to provide an online demo mode of retail instant games.

- This would also not breach the IGA, as a gambling service requires consideration. Conceptually, this would resemble social casino games, minus the in-game currency purchase mechanic that drives direct revenue.
- The concept is mostly used internationally in jurisdictions where eInstants are legal.
  - That said, some states (e.g. New York) run an online demo purely to promote the retail channel.
- While the concept could be viewed as a gateway to gambling, TLC could conversely position it as a responsible gambling tool.
  - The framing would be that the demo allows players to try how the game works before risking money.

A third option that may fit within the IGA is offering eInstants digitally to players physically located in a retail setting.

- The concept is based on the recent Tabcorp "TAB Live" initiative.
  - Previously, live-event wagering was only permitted via retail terminals or by telephoning a bookmaker.
  - Recent state regulator and ACMA clearances deemed the initiative did not breach the IGA, as players were required to verify their identity and location.
- TLC could do something similar conceptually, though defining retail spaces in lotteries is less clear-cut.
  - Tabcorp venues are typically clearly defined spaces requiring entrants to be 18+. TLC tickets are sold at many all-age venues such as newsagents, convenience stores, and pharmacies. That said, the registered-account requirement would apply either way, providing a verification layer independent of venue type.
- We do, however, think this sets a strong precedent for Online Keno in venues (discussed further below).

Exhibit 12 - New TAB Live product offering



Source: Tabcorp

Any of the above changes would need to weigh the potential reaction from various stakeholders. As noted, one of TLC's most valuable assets is its social licence, which has allowed it to avoid regulatory scrutiny in what is a reasonably hostile political environment. TLC would also need to assess the reaction from retailers. Although a proportionally shrinking channel, retailers still play a key role in brand presence and political lobbying.

It's also worth noting TLC's existing initiative in this space: the Instant Scratch-Its 2nd Chance Draw.

- Players can convert non-winning retail instants into entries in a monthly draw with a top prize of $10k.
- Players must hold a registered account, giving TLC another mechanism to convert retail customers to digital.

Exhibit 13 - Instant Scratch-Its tickets 2nd Chance Draw

2nd Chance Draw

2nd Chance Draw Winners

Each month Instant Scratch-Its players have the chance to win in our 2nd Chance Draw. Starting from 1 July, there is $10,000 on offer. The monthly 2nd Chance Draw is conducted on the second Wednesday of every month. See our latest winners below!

ENTRY MONTH	PRIZE	WINNER(S)
May 2026 (Drawn 10/06/26)	$10,000	Drawn 10 June 2026
April 2026 (Drawn 13/05/26)	$10,000	Winner being verified. KEEP YOUR TICKETS!
March 2026 (Drawn 15/04/26)	$10,000	L.R. from Pakenham, VIC

Source: The Lott

Again, the timing of ongoing gambling reforms means now is not the right time to pursue legislative change on eInstants. However, should the regulatory and political landscape become more favourable, we believe TLC could advocate for a model similar to New Zealand's (where Pickup previously served as CEO).

- eInstants have been legal in New Zealand since 2017, albeit with tight responsible gambling restrictions.
  - All players are subject to a maximum spend limit of NZ$150 over any rolling 7-day period (across the overall lottery portfolio).
  - Games can only be played between 6:30am and 10:10pm.
  - Other responsible gambling measures include self-exclusion options and session-time alerts.

Changes to the Current Portfolio

New Games

A further initiative TLC could pursue is adding new games to the portfolio.

- Excluding Weekday Windfall, which was more of a refresh/extension, the most recent net-new game was Set for Life in 2015.
  - Relative to the rest of TLC's portfolio, the game is distinctive — not only in its prize structure, but more notably in offering daily draws.

Beyond eInstants, draw frequency is the most striking structural difference between international lotteries and the Australian lottery portfolio. Below we show that each game in Illinois has at least two draws per week, with half the portfolio drawing twice daily.

- On a turnover/sales weighted basis, ~80% of TLC's portfolio sits in once-a-week draw games, while Illinois skews heavily towards Instant/FastPlay games.
  - Even isolating draw games only (i.e. excluding Instant/FastPlay), ~65% of Illinois sales come from games drawing 14 times per week.

We are not necessarily flagging this as a problem since cultural and regulatory differences clearly shape the optimal game portfolio.

- That said, given Pickup's background and prior commentary around building more engaging products, adding a higher-frequency draw game would make sense.
  - This assumes any new game proves incremental to the portfolio rather than cannibalising the demand or liquidity underpinning existing games.

Exhibit 14 - Illinois Lottery Draw Times

	MON	TUE	WED	THU	FRI	SAT	SUN
POWERBALL	9:59 PM		9:59 PM			9:59 PM	
MEGA MILLIONS		10:00 PM			10:00 PM		
Lotto	9:22 PM			9:22 PM		9:22 PM	
LuckyDay LOTTO	DAILY AT 12:40 PM & 9:22 PM						
PICK 3							
PICK 4							

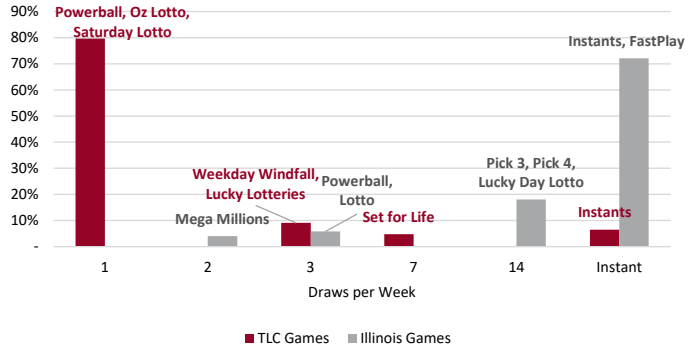
Source: Illinois Lottery

Exhibit 15 - Breakdown of TLC & Illinois Lottery Portfolios by Size & Frequency

TLC Lottery Games			Illinois Lottery Games		
Game	Turnover (A$m)	Frequency per Week	Game	Sales (US$m)	Frequency per Week
Powerball	2,296	1	Instant Tickets	2,166	Instant
Oz Lotto	1,344	1	Fast Play	541	Immediate
Saturday Lotto	1,592	1	Pick 4	280	14
Weekday Windfall	489	3	Pick 3	271	14
Instants	425	Instant	Mega Millions	153	2
Set for Life	312	7	Lucky Day Lotto	128	14
Lucky Lotteries	109	~3	Powerball	124	3
			Lotto	94	3

Source: Illinois Lottery, Company Data, E&P Estimates

Exhibit 16 - Breakdown of Lottery Sales by Draws per Week



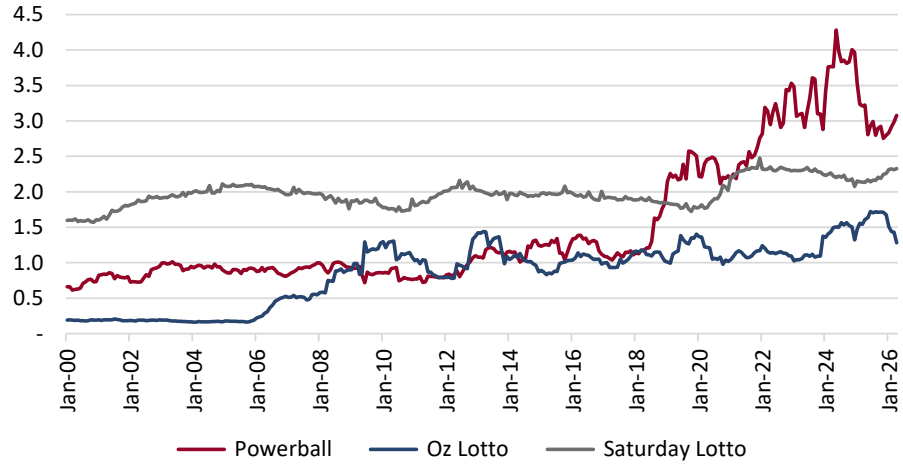
Source: Illinois Lottery, Company Data, E&P Estimates

Game Changes

Rather than adding new games, TLC has historically focused more on game changes. Recent changes have been relatively minor, mostly in the form of price increases. That said, TLC has executed more material game changes in the past, most notably the Powerball matrix change in 2018.

- This involved a 29.4% increase in subscription price and a lengthening of the division-one odds from ~1 in 76m to ~1 in 134m.
- Overall, the game change has been a clear success.
  - Powerball has delivered the strongest growth of the major games in the portfolio, with the longer odds generating a more frequent cadence of $100m+ jackpots.

Exhibit 17 - Lotteries Sales (A$bn) - 12 month Moving Average Total



Source: Company Data, E&P Estimates. Note: Includes WA.

Despite the success, management has previously stated that the benefits of the matrix change are still playing out. We are unsure whether that view still holds, but note Powerball had a price increase in October (see here) and some customers may be resistant to multiple price increases in a short period of time.

Beyond pricing and matrix changes, there are other concepts TLC could explore. The first would be running Powerball multiple times a week.

- Given Powerball is TLC's most popular game, this would make intuitive sense — though several factors warrant consideration.
  - The first is which days to run the game.
    - TLC currently runs a well-spaced schedule, with the three largest games at least two days apart (Tuesday, Thursday, Saturday).
    - Sunday is the only day of the week without its own draw.
  - Would TLC consider retiring Oz Lotto?
    - Although TLC has invested significantly in building Oz Lotto's brand, there could be benefits from concentrating marketing spend and consumer wallet share on a single game.
  - Is TLC willing to increase the volatility of earnings even further?

Another concept would be adding purchase options or features. Examples of such add-ons in the US include:

- Double Play — automatic entry into a second-chance draw.
  - We view this as the most logical option.
- Power Play — multiplies non-jackpot prizes by 2–10x.
- Just the Jackpot — cheaper entry in exchange for forgoing lower-tier prizes.

Product Improvements

Unlike the more speculative angles above, we expect TLC to showcase new product improvements they plan to launch. These are quality-of-life improvements with little to no downside. Recent TLC initiatives include simplifying sign-up, enhancing digital payment options, and enabling in-store prizes to be paid directly to a bank account or digital wallet.

Further options TLC could pursue include:

- AI-driven personalisation.
  - Pickup has already signalled he believes TLC is under-invested in AI and that the technology can enable personalisation at scale.
- Promotional tickets.
  - Historically under-utilised by TLC relative to other gambling verticals such as wagering. This partly reflects the fact that a large portion of revenue is pre-allocated to retailer commissions, prizes, and taxes. That said, we believe there is scope to expand promotional activity going forward.
- Gift tickets.
  - Digitally gifting a ticket to a friend with a registered account for events such as a birthday or Christmas could drive incremental sales. It could also act as a digital acquisition channel where the recipient does not yet hold an account.
- IP-branded games.
  - Common internationally but not in Australia. This is partly because our instants market is a much smaller proportion of the portfolio. We think this option would only make sense in conjunction with the Scan-N-Play concept detailed above, as the IP angle likely adds more to the digital experience than retail.
- Self-service vending machines.
  - Another concept common internationally but absent in Australia. We suspect this reflects a combination of the smaller instant market and potential pushback from some retailers. As above, we think this would make most sense in combination with Scan-N-Play instants.

Exhibit 18 - Illinois Lottery Vending Machines



Source: Illinois Lottery

Online Keno

Impact from the Gambling Reforms

The Albanese government's recent response on online gambling reform (see here) confirms Online Keno will be banned.

- We estimate this represents ~2% of group revenue and ~3% of group EBITDA.

Prior to this announcement, we believe Online Keno was a key part of management's growth plans. This can be inferred from some of management's previous comments.

- At the 1H26 result, Pickup stated that TLC was under-represented in Online Keno and had upside to capture.
- This was followed by the new operating model announcement in March, which carved Keno out as its own business unit. Management stated the business would focus on "expanding product and unlocking the online opportunity".
- That said, as noted earlier, we think the "TAB Live" precedent could open a path for Online Keno in retail venues.

The strategic rationale for growing Online Keno was sound.

- Although Australia has a robust gambling landscape, the Interactive Gambling Act 2001 restricts a large number of online products, particularly those involving high-frequency outcomes.
- In particular, the two primary high-frequency games of chance - online casinos and eInstants - are both prohibited.
  - This left Online Keno as a uniquely positioned product, with draws every 3 minutes.

Current Online Keno Landscape

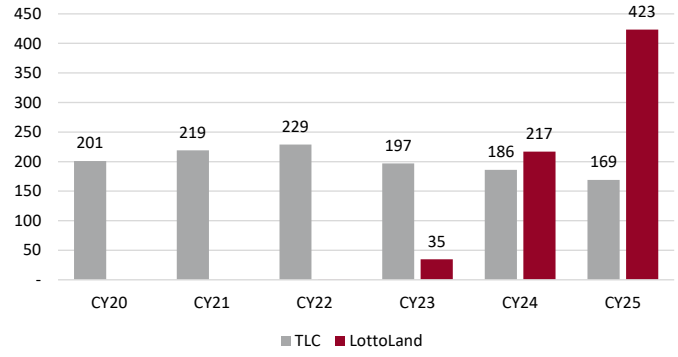
The Australian Online Keno landscape shifted when the Victorian Government awarded licences to both TLC (then Tabcorp) and Lottoland. This came as a surprise to many in the industry.

- Victoria had previously awarded a dual licence model for Lotteries and Keno in 2007. The model proved unsuccessful, with Intralot voluntarily handing back its licence in 2014 after a cumulative $63.4m in losses.
- Furthermore, Lottoland had been criticised by various state governments for its synthetic lottery product (betting on the outcome of a lottery), which was ultimately banned at the federal level in 2019.

Nonetheless, Lottoland has been highly successful in scaling its Online Keno business.

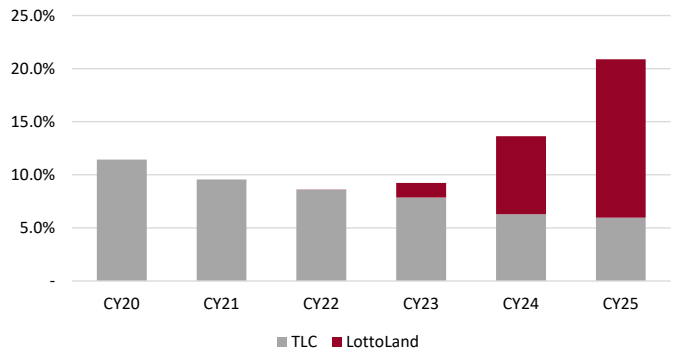
- In CY25, Lottoland generated $423m of turnover - ~2.5x TLC's Online Keno product.

Exhibit 19 - Australian Online Keno Turnover (A$m)



Source: Company Data, E&P Estimates

Exhibit 20 - Online Keno Turnover as a % of Digital Lotteries Turnover



Source: Company Data, E&P Estimates

A key component of Lottoland's success has been the aggressive marketing of its $40m jackpot.

- This is the largest keno jackpot globally, offered in the "KenoGO Jackpot" format (one of Lottoland's three games).
- Theoretically, the prize can be won every 3 minutes for a ticket cost of just $2.
  - To our knowledge, no player has hit the $40m maximum prize. We estimate the odds of winning at ~1 in 94m.

The other tailwind for Lottoland has been TLC's voluntary tightening of responsible gambling measures on its own Online Keno product.

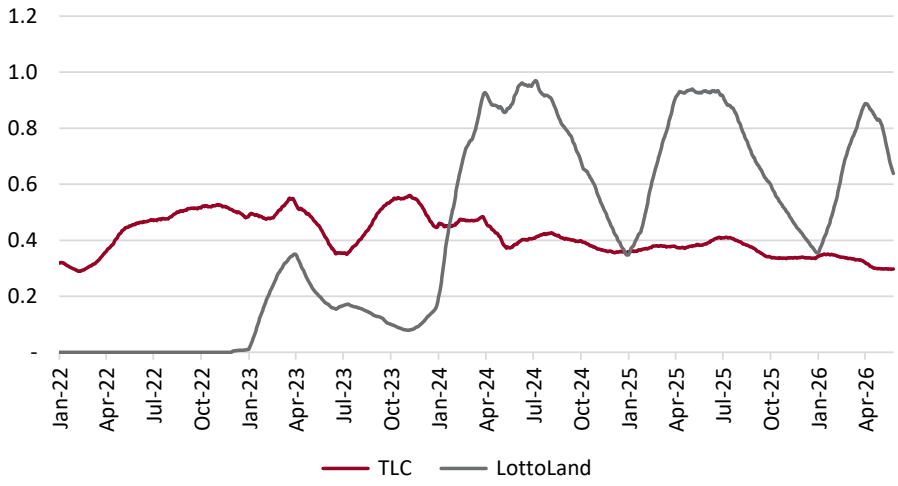
- In September 2024, TLC introduced mandatory spend limits for all Online Keno players, followed by further measures including continuous play alerts.
- TLC's Online Keno revenue subsequently fell 18.6% in FY25.

Exhibit 21 - KenoGO $40m Jackpot Advertisement



Source: Lottoland

Exhibit 22 - Average Downloads per Day (000's) - 90 Day MA



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels.

Rewards Clubs

Impact from the Gambling Reforms

Another concept mentioned in the recent Albanese gambling reforms is Trade Promotion Lotteries - the regulatory framework that rewards clubs operate under. We previously did a deep dive on these business models in our Jumbo initiation (see here).

Unlike Online Keno, the commentary stopped short of explicitly proposing a ban. Instead, the language was more measured, indicating the government would work with states to introduce national regulatory changes. This likely reflects the difficulty of targeting rewards clubs without knock-on effects for more traditional trade promotion activity.

- Traditional trade promotions are a well-established marketing technique used to drive sales, build brand awareness, and reinforce customer loyalty.
- The key legal requirement to run a trade promotion in Australia is a NSW permit.
  - There are currently ~5,100 active permits in Australia, of which we suspect only ~100–150 relate to rewards clubs.

Perhaps sensing the prospect of regulatory change, the largest rewards club, LMCT+, has recently acquired its own supermarkets and petrol stations, where members can receive substantial discounts.

Exhibit 23 - LMCT+ Supermarket



Source: LMCT+

Exhibit 24 - LMCT+ Petrol Station



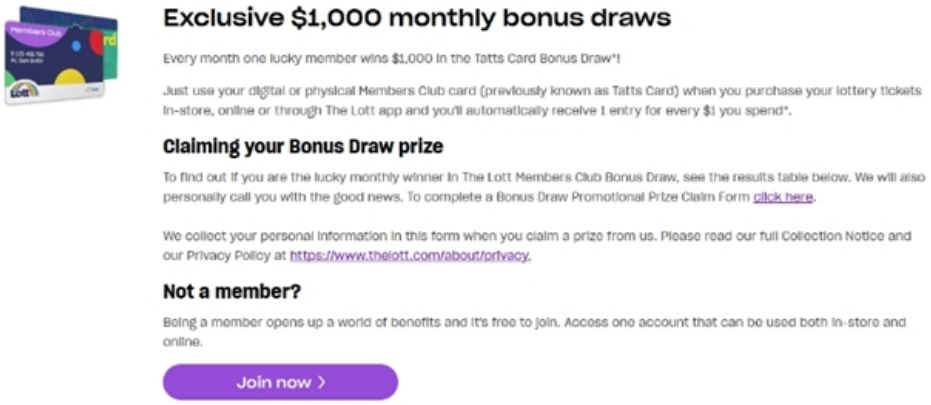
Source: LMCT+

Lessons that TLC could Apply

Irrespective of how the regulatory future plays out for these businesses, we believe there are lessons TLC could apply.

- More engaging marketing.
  - A key driver of success for these businesses has been their fast, energetic marketing. That said, TLC could not adopt all of their tactics. The key difference being that TLC is bound by gambling advertising restrictions while rewards clubs are not.
- Promoting winners more.
  - Trade Promotion Lotteries are legally required to publish the names of their winners online. Nonetheless, they use this to their advantage as a key marketing tool. TLC winners are in most cases allowed to remain anonymous, but TLC could theoretically create more incentives for winners to publicly share their win.
- Greater membership benefits.
  - Members of rewards clubs technically join for the platform benefits (usually discounts), with giveaway entries serving to promote the platform (i.e. the trade promotion). However, similarly to above, the discounts themselves can offer real incentives for customers. Recently, LMCT+ leveraged rising petrol prices during the Iran conflict to offer members real savings, generating significant member loyalty and favourable press coverage. From what we can observe, TLC's only membership benefit beyond quality-of-life measures is a monthly $1k bonus draw.
- Subscription-based tiers.
  - This concept could be integrated with the membership benefits above. An example of say an entry-level membership could include: 1x entry into each Powerball, Oz Lotto, and Saturday Lotto draw, plus bonus entries into a 2nd chance draw and access to a members-only discount.
- Draw date flexibility.
  - In an ideal world, TLC would have a reasonably consistent spread of large jackpots. However, the only major game that they have some control of is Saturday Lotto. Thus, the ability to add prizes during a period of low jackpot activity could prove valuable to TLC.

Exhibit 25 - The Lott Members Club Bonus Draw



Source: The Lott

International Opportunities

The last area worth touching on is the international landscape - both opportunities and threats. TLC has recently stated its focus remains on local markets. However, we read this as primarily referring to international licence bids rather than other cross-border activity.

On the threat side, The Lottery Office (TLO) has been viewed as a source of competitive risk over the past ~5 years (see here).

- TLO's business model allows Australian players to indirectly enter overseas lotteries such as US Powerball or Mega Millions, using a Foreign Matched Lottery structure.
- Foreign Matched Lotteries were another product category referenced in the recent Albanese reforms.
- While the commentary was more measured than on Online Keno, it seems likely the product will ultimately be banned.
  - At a minimum, we would expect changes that close the tax arbitrage between TLO's NT-based structure and state-based lottery operators.

Interestingly, TLC could pursue an option for Australians to play international lotteries in a more direct manner.

- Last month, the consortium behind US Powerball announced the game would expand into the UK (see here).
  - This would mark the first time players located outside the US would be eligible to enter the draw.
- Theoretically, TLC could pursue a similar arrangement.
  - However, the timing would be tricky given TLC has proactively campaigned against TLO and leveraged the retail network as an ally in doing so.
  - Retailer commissions and tax treatment would also need to be worked through.

Another idea TLC could pursue is effectively the reverse - allowing players in other jurisdictions to enter Australian lotteries.

- The most logical jurisdiction would be New Zealand.

Changes to Forecasts and Valuations

We have made the following changes to our forecasts for TLC:

- Downgraded 2H26 turnover to reflect an unfavourable jackpot sequence.
  - Powerball jackpotted last night. With only 4 Powerball and 5 Oz Lotto draws remaining - both starting from base jackpot levels - the range of outcomes for 2H26 is now effectively capped.

- Downgraded 2H26 Digital Penetration & reduced Lotteries Marketing Opex to reflect the absence of large jackpots.
- Adjustments to our modelling of the Victorian Lottery Licence, which impact D&A & Net Interest expense.

This has resulted in the following revisions to our forecasts and valuation:

Exhibit 26 - Changes to Forecasts and Valuation

		FY26E	FY27E	FY28E
Revenue	**New**	**3,679.5**	**4,183.0**	**4,329.6**
	Old	3,720.4	4,195.1	4,342.1
	% change	-1.1%	-0.3%	-0.3%
EBITDA	**New**	**731.9**	**866.0**	**898.4**
	Old	743.5	869.7	902.1
	% change	-1.6%	-0.4%	-0.4%
NPAT	**New**	**345.4**	**383.7**	**391.1**
	Old	350.0	367.9	375.3
	% change	-1.3%	+4.3%	+4.2%
Valuation	**New**	**$6.10**		
	Old	$6.18		
	% change	-1.3%		

Source: E&P Estimates

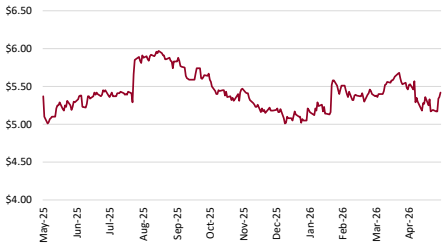
The Lottery Corporation, Positive, VALUATION AUD6.10

EAP CORE DRIVERS

- Lotteries defensive characteristics & monopolistic licences creating assets akin to infrastructure
- Underlying performance & innovation of lottery games.
- Stakeholder management including government (taxes) & the retailers (commissions).

INVESTMENT THESIS

- Lotteries online sales growth, driving incremental revenue growth and margin expansion.
- Potential exclusion from advertising ban given lower problem gambling risk.
- Likely to Secure VIC Lotteries Licence extension (expires 2028).
- Strong FCF generation warranting a premium multiple.



FINANCIAL SUMMARY

The Lottery Corporation				TLC-ASX	
As at:	31/05/2026			Recommendation:	Positive

						Share Price:				AUD5.17
Year end	**Jun**	**2024A**	**2025A**	**2026E**	**2027E**	**Year end**	**Jun**	**2024A**	**2025A**	**2026E**	**2027E**
INCOME STATEMENT						FINANCING CASH FLOWS					
Total Operating Income/Revenue		4,071.2	3,748.9	3,679.5	4,183.0	Proceeds from Borrowings		0.0	0.0	70.0	1,145.0
EBITDA		827.1	749.3	731.9	866.0	Net Proceeds Issue/Buyback of Securities		(43.6)	(74.0)	(9.1)	0.0
D&A		(108.3)	(105.0)	(108.3)	(112.2)	Distributions		(270.0)	(340.0)	(362.5)	(373.1)
EBIT		718.8	644.3	623.6	753.8	Other Financing Cashflows		(80.2)	(0.7)	(5.8)	0.0
Net Interest Expense		(108.1)	(115.0)	(117.1)	(192.7)	**Total Financing Cash Flow**		**(393.8)**	**(414.7)**	**(307.4)**	**771.9**
PBT		600.2	525.9	500.4	556.1	Net Change in Cash		11.4	31.0	92.3	126.6
Tax expense		(188.4)	(165.5)	(155.0)	(172.4)	Free Cashflow		424.3	470.1	402.0	499.7
NPAT attributable to s'hers		**411.8**	**360.4**	**345.4**	**383.7**	**Year end**	**Jun**	**2024A**	**2025A**	**2026E**	**2027E**
Adjusted Net Profit		411.8	360.4	345.4	383.7	PER SHARE DATA					
Year end	**Jun**	**2024A**	**2025A**	**2026E**	**2027E**	EPS - Adjusted (cents)		18.5	16.2	15.5	17.2
BALANCE SHEET						DPS (cents)		18.5	16.5	15.8	16.8
Assets						Cash Flow Per Share (cents/share)		19.1	21.1	18.1	22.5
Current Receivables		47.7	41.7	41.2	46.0	Book Value ($/sh)		16.3	14.5	15.2	15.7
Other Current Assets		212.7	250.1	248.0	248.0	NTA Per Share ($/sh)		(115.3)	(116.1)	(113.6)	(163.3)
Total Current Assets		706.3	768.7	858.4	989.8	**Year end**	**Jun**	**2024A**	**2025A**	**2026E**	**2027E**
Property Plant & Equipment		156.6	161.1	176.5	192.2	ANALYSIS					
Intangibles		845.5	822.2	782.8	1,900.3	EBITDA Margin (%)		20.3	20.0	19.9	20.7
Other Non-Current Assets		565.3	563.5	585.9	585.9	EBIT Margin (%)		17.7	17.2	16.9	18.0
Total Non-Current Assets		3,657.9	3,636.5	3,634.5	4,767.7	Net Profit Margin (%)		10.1	9.6	9.4	9.2
Total Assets (BS)		4,364.2	4,405.2	4,492.9	5,757.5	Capital Employed		2,308.3	2,265.2	2,218.4	3,247.4
Liabilities						Return on Capital Employed (%)		31.3	28.2	27.8	27.6
Current Accounts Payable		847.6	892.2	930.3	1,039.2	EBITDA/Capital Employed (%)		36.0	32.8	32.6	31.7
Total Current liabilities		1,013.4	1,053.7	1,087.4	1,196.3	**ROE %**		**131.2**	**105.2**	**104.6**	**111.7**
Long Term Debt		2,391.1	2,420.3	2,449.3	3,594.3	Net Debt/Equity (%)		535.7	603.9	555.7	830.6
Other Non-Current Liabilities		366.8	398.8	399.7	399.7	Net Debt/Net Debt & Equity (%)		84.3	85.8	84.7	89.3
Total Non-Current Liabilities		2,987.7	3,029.7	3,067.2	4,212.2	Net Debt/EBITDA (x)		2.4	2.6	2.6	3.3
Total Liabilities		4,001	4,083	4,155	5,409	Net Interest Cover (x)		5.7	5.1	4.9	3.7
Total Shareholders' Equity		363.1	321.8	338.4	349.0	GOCF/EBITDA (%)		0.9	1.1	1.1	1.1
Net Assets		363.1	321.8	338.4	349.0	Total Capex/Sales (%)		1.7	1.9	2.5	2.4
Net Tangible Assets		(2,565.6)	(2,583.6)	(2,527.7)	(3,634.5)	Working Capital/Sales (%)		(0.2)	(0.2)	(0.2)	(0.2)
Book Value		363.1	321.8	338.4	349.0	D&A/PP&E (%)		69.2	65.2	61.4	58.4
Year end	**Jun**	**2024A**	**2025A**	**2026E**	**2027E**	EV/EBITDA (x)		16.2	17.7	18.0	16.4
OPERATING CASH FLOWS											
EBITDA		827.1	749.3	731.9	866.0						
Change in Working Capital		(42.2)	50.6	38.6	104.2	BLENDED VALUATION					
Other Operating Cashflow		0.0	35.3	18.3	0.0	Valuation - DCF		6.10	100.0%		
Gross Operating Cash Flow		**784.9**	**835.2**	**788.7**	**970.2**	Valuation - Capitalisation of Earnings		0.00	0.0%		
Net interest paid		(105.7)	(113.4)	(117.8)	(197.7)	Valuation - PER		0.00	0.0%		
Tax Paid		(186.4)	(180.1)	(175.4)	(172.4)	Valuation - SOTP		0.00			
Net Operating Cash Flows		**492.8**	**541.7**	**495.5**	**600.1**	Valuation		AUD6.10			
Investing Cash Flows											
Purchase of PP&E		(68.5)	(71.6)	(93.5)	(100.4)						
Other Investing Cashflows		(19.1)	(24.4)	(2.3)	(1,145.0)						
Total Investing CashFlow		**(87.6)**	**(96.0)**	**(95.8)**	**(1,245.4)**						

Source: Company data, E&P estimates

RESEARCH RECOMMENDATION DEFINITIONS

Positive	Stock is expected to outperform the S&P/ASX 200 over the coming 24 months.
Neutral	Stock expected to perform in line with the S&P/ASX 200 over the coming 24 months.
Negative	Stock is expected to underperform the S&P/ASX 200 over the coming 24 months.
Speculative Buy	Stock has limited history from which to derive a fundamental investment view or its prospects are highly dependent on event risk, e.g. Successful exploration, scientific breakthrough, high commodity prices, regulatory change, etc. Consequently, the stock is considered a high-risk investment which may be prone to high volatility in share price movements, have a greater risk of capital loss and/or the stock may have low liquidity.
Suspended	Stock is temporarily suspended due to compliance with applicable regulatory and/or E&P policies in circumstances where E&P is acting in an advisory capacity.
Not Rated	Stock is not included in our investment research universe.

Research Criteria Definitions

Recommendations are primarily determined with reference to how a stock ranks relative to the S&P/ASX 200 on the following criteria:

Valuation	Composite of Rolling 12-month prospective multiples and discounted cash flow (DCF), or DCF for resource stocks.
Earnings Outlook	Forecast 2-year EPS growth.
Earnings Momentum	Percentage change in the current consensus EPS estimate for the stock (rolling 1-year forward basis) over the consensus EPS estimate for the stock 3 months ago.
Shareholder Returns	Composite of forecast ROE (rolling 1-year forward basis) and the percentage change in ROE over 2 years.
Debt Servicing Capacity	Rolling 12-month EBIT Interest Cover ratio.
Cyclical Risk	Qualitative assessment of the 2-year outlook for a stock/industry's profit cycle.
Industry Quality	Qualitative assessment of an industry's growth/returns potential and company specific management capability.
Financial Transparency	If we don't understand it, we won't recommend it.

For stocks where Evans and Partners does not generate its own forecasts, Bloomberg consensus data is used. Analysts can introduce other factors when determining their recommendation, with any material factors stated in the written research where appropriate.

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EBR	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
EPI	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
EXP	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security. E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has previously provided advisory services to the company.
GCI	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
GLS	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
HPG	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.
IGL	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has provided advisory services to IVE Group Limited in the past 12 months, for which it received a fee.
IMU	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has been appointed Joint Lead Manager to an offering of securities of the company or its affiliates, for which it will receive a fee.
KIT	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
LE.US	A director of E&P Financial Group Limited, the ultimate holding company of Evans and Partners Pty Ltd, is a director of Lands' End Inc.
LGF	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has been appointed Joint Lead Arranger and Joint Lead Manager to an offering of securities of the company or its affiliates, for which it will receive a fee.
MA1	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.

MXT	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
OFX	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.
PCI	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
PGF	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed a sale of securities of the company by the Founder and Chief Investment Officer of the company and his affiliates in the past 12 months, for which it received a fee.
PYC	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
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SPPHA	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
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